BLOCK 8

INDIA'S FOREIGN TRADE: POLICY AND CHALLENGES

BLOCK INTRODUCTION

This block is on **India's Foreign Trade: Policy and Challenges**. It has two units, i.e., Unit 18 - **India's Trade Policy**, Unit 19 – **India's Trade: Trends, Composition and Challenges**.

Unit 18 starts with the concepts, nature and aims of trade policy and the basic tools of a trade policy. Then it moves on and explains the evolution of the trade policy in India. The evolution has been divided into two time periods i.e., up to 1990 and 1991 to 2014. The foreign trade policy of 2015-20 is being discussed at length separately.

Unit 19 take the theme forward by presenting the pattern, direction and composition of India's foreign trade. The challenges faced by the foreign trade of India are highlighted in the concluding part of the unit.

UNIT 18 INDIA'S TRADE POLICY *

Structure

18.0 OBJECTIVES

After studying this Unit, you should be able to:

- Explain the concept of trade policy;
- State various tools of trade policy;
- Describe evolution of trade policy from 1950 to 2022;
- Discuss the impact of trade policy; and
- Identify the need of recalibration of trade policy.

18.1 INTRODUCTION

Business with foreign nations is not a new phenomenon in India. India is used to trade with foreign nations even in BC. During 1947-90, the country pursued socialist pattern of development that has focus on inward-looking strategy of self-reliance and state-led investment in heavy capital-intensive industries. India was

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virtually a closed economy. However, even under controlled regime, country made progress towards industrialization, but inefficiency, bureaucratic process and rampant corruption did not allow high growth rate of GDP. BoP crisis of 1991 propelled systemic change in India's economic policy.

The economic reforms of 1991changed the direction of trade policy. The country embarked on a series of major trade reforms, progressively cutting tariff- and non-tariff barriers, phasing out quantitative restrictions, and easing limitations on the entry of foreign investment. Having made a good start trade policy has been encountering number of operational problems. In the contemporary world of value chains, where the focus has shifted from nations to firms, the formulation of trade policies has become increasingly complex.

This unit discusses India's trade policy, providing qualitative insights regarding the evolution of trade policy since independence and presents analysis of India's trade policy reform since 1991.There is need for bringing improvement in policy and unit has analysed a road map for moving ahead.

18.2 CONCEPT, NATURE AND AIMS OF TRADE POLICY

Concept: Trade policy is established when a government sets standards and laws regarding international trade. The concept of trade policy relates to a national framework of laws, regulations, decisions, practices, and negotiating positions that governments adopt to ensure that national companies have to regulate the exchange of goods and services with a specific country or bloc of countries. Each nation determines its own standards for trading, including its tariffs, subsidies, and regulations.

Some trade policies are codified into law; others are part of the practices that a nation's bureaucrats and diplomats follow. They are intended to reflect a national philosophy about international trade. Trade policy is also known as commercial policy or international trade policy or foreign trade policy.

The *nature of trade policy* indicates the use of tariffs and other trade barriers, such as restrictions on what goods can be imported or exported, and which countries are allowed to import or export goods to the home country. It encompasses tariffs (or subsidies) as well as non-tariff barriers (quotas, antidumping duties) used by governments that are related to trade among countries. The trade policies affect exchange rates, the availability of goods, and the prices that people pay for them, among many other economic factors.

***Aims of trade policy*:** Trade policies provide a number of economic benefits such as:

i) importing and exporting,

ii) foreign retaliation,

iii) jobs creation,

iv) emphasis on finding export markets for goods and services produced in the country,

v) tariffs norms,

vi) focus on protecting intellectual property,

vii) setting standards that promote collaboration and reduce trade barriers,

viii) establishing trade agreements and trade laws,

ix) encouraging travel and tourism from other countries,

x) limiting and heavily taxing imports to protect domestic industries.

Many countries establish trade policies between the two extremes, adjusting them as the global economy and domestic political pressures change. A trade agreement occurs when two or more countries agree to the terms of trade, which can include the amount of tariffs and quotas, among other terms.

18.3 BASIC TOOLS OF TRADE POLICY

In practice for implementation of trade policies some tools are needed. These tools are the following:

Tariff measures:

i) export taxes

ii) import tariffs

Non-tariff measures: These include quantitative restrictions like:

i) antidumping measures,

ii) sanitary phyto sanitary (SPS), and

iii) technical barriers to trade (TBT) measures

Quantitative restrictions (QRs) are:

i) quotas

ii) import restrictions and licensing policy

iii) export restrictions

India makes extensive use of trade policy instruments such as tariffs, export restrictions, export taxes, anti-dumping duties, and import licensing. Tariffs and quantitative restrictions have been important instruments of trade policy and played a crucial role in providing protection to domestic industry throughout the 1980s and part of 90s. It is also widely held that the protective regime has been responsible for inefficiency in resource-use, which constrained the growth performance of Indian industries.

The trading regime with respect to QRs began to be administered more liberally in the 1980s, but granting of licenses remained discretionary. India has reduced its QRs over time from the complex and extensive regime to one with much lower coverage, with simpler procedures and lower incidence. The QRs today are mainly to meet the "justifiable" objectives, and the regime is simpler and more transparent. This is not unusual or specific to India. Non-tariff measures are the new area of focus where reform is needed in many economies, large and small (Singh, 2017).

India is the second-highest user of *anti-dumping*, second only to the United States. Interestingly, with the reduction of tariffs, the use of anti-dumping has increased. India has been increasing tariffs on a number of items. For most cases, it has been argued that this is being done to manage the huge current account deficit the country runs with China. However, increasing tariffs may directly affect the competitiveness of products which are manufactured using these inputs (Mukherjee, 2022).

SPS and TBT measures are collectively referred to as "standards". These measures are far more pervasive than any other non-tariff measure, but the trade policy concern relates only to standards which are protectionist (in general, standards are required to implement the objectives such as health and safety, technical compatibility, or environmental concerns).

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Explain the concept of trade policy.

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2) Why is trade policy needed?

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3) Point out the tools of trade policy.

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4) Which kind of tools are utilised more frequently after the advent of WTO?.

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18.4 EVOLUTION OF INDIA'S TRADE POLICY

The Department of Commerce, Government of India is the main agency to over view all the activities relating to foreign trade. It assumes the role of leadership in international trade organizations and devises commodity and country-specific strategy in the medium term and vision for India's foreign trade policy in the long run.

India pursued a closed, import-substitution model of trade and development since 1956.*Prima facie*, India's trade policy and changes therein are driven by the industrialisation strategy, be it import substitution, export promotion or trade liberalisation. However, unlike in many industrialising countries, India's transition has been from import substitution to reforms in trade and investment, but not necessarily to export-led industrialization (Sengupta and Roy, 2018).

During the past three decades, India has experienced an important process of trade reform. What started as protection during "planning for industrialization" in an economy with binding foreign exchange constraint in the 1950s, evolved to a relatively open economy with lesser barriers to trade. The process of change in the trade sector has been sequential over a relatively long period of time, the process being complemented by wide ranging policy shifts in other sectors of the economy (Sengupta and Roy, 2018).

18.4.1 Trade Policy Up To 1990

Right from the independence of 1947 the country adopted licensing system for trade and industrial policy. This is generally characterised as policy of *license permit regime.* Under this regime most imports and investment needed government permission.

Trade policy till the 1970s primarily focused on regulating the utilization of foreign exchange through the use of quantitative restrictions. This was despite attempts to liberalise trade during the mid-1960s, which was short-lived. With balance of payments deterioration during that period, imports were again subject to quantitative restrictions. The trade regime in India was not only distorted with high tariff rates but there continued to be several exemptions as well as additional charges/surcharges at several points in time which continued to complicate the trading environment. These continued to remain as hurdles in the path of trade liberalization.

The prolonged phase of industrial stagnation since the mid-sixties also led to a relook into the role of trade and related policies in the Indian economy through the Alexander Committee, the Hussain Committee and the Narasimham Committee. The policies towards the external sector reforms in India, which followed industrial decontrol, have moved in two directions: the reforms relating to tradeables and exchange rate reforms since the 1980s (Sengupta and Roy, 2018).

In the pre-90 period, India's policy regime for imports was complex and cumbersome. There were different categories of importers, several types of licenses and alternative ways of importing. The 1980s saw changes in the external and the industrial sector in matters pertaining to licensing for scale and technology as well as quantitative restrictions on imports and tariff rates.

Reforms in the trade sector aimed at export promotion by reducing distortions in the economy. Towards reforming trade, quantitative restrictions (QR‟s) on imports were eliminated and replaced with tariffs, the tariff structure was rationalised, and trade procedures were simplified. After the mid-1980s, the list of capital goods to be imported under the open general license was expanded. Replenishment licenses for import of capital goods were introduced and its scope was enlarged and made more flexible during the period. Import duties on machinery were rationalised since then. Since the mid-eighties, trade policy making was for a longer period (three-year policy to start with) to bring in stability in the regime.

18.4.2 Trade policy 1991-2014

India's attempt at trade liberalization in the 1980s and 1990s resulted in overall changes in the trading regime with substantial lowering of tariffs and near abolition of import control except for a few groups of industries on grounds of health, environment and defense. Additionally, the trade policies of 1997-98 and 2003-4 attempted to further consolidate the trade liberalizations of 1991-92. A directional change took place opening the economy to trade and foreign investment under policy of economic reforms. In this context, it is worth recalling how far India has moved towards liberalized trade policy.

Trade policy reform was an important part of the economic reform initiated in 1991. This became the focus for substantive liberalization from the very beginning of the reform process. Since the macroeconomic policy regime created an economy that was expensive and often inefficient, export promotion was sought to be achieved through micro-level strategies (Khanna, 1997).

Das (n d) has observed that "trade policy reform in the 1990s, given its economy wide impacts, was considered as a key component of the reform process initiated in India. Such reforms were conceived to contribute to improved economic performance in the industrial sector as well as the overall economy". The 1990s brought about comprehensive trade liberalization encompassing abolition of non-tariff barriers, reduction of peak tariff rates and dispersion along with devaluation of the rupee.

The policy decision was taken that the import of all production inputs, as distinct from finished consumer goods, should be liberalized. Capital goods, intermediates, components, and industrial raw materials were almost entirely thrown open for import at the option of the manufacturer himself or by the trade, for stock and sale. The underlying logic was that if the Indian industry was to come of age and build up competitive production capability, it should be allowed access to the best capital equipment, instrumentation, and raw materials and components without having to knock on the doors of the import-licensing authorities. The broad area of consumer goods was, however, restricted on balance of payments considerations. The elaborate listing of items in different lists such as "Banned," "Negative," "Limited Permissible," and "Canalized" was pruned drastically (Khanna, 1997).

Moreover, since the reform process also involved a paradigm shift from an administrative micro level policy regime to a generalized market driven policy frame, the importance of the exchange rate as a determinant of trade flows would have to increase in the post reform period.

Prior to the launching of reforms, the negative list of exports consisted of five categories, namely, prohibited list, licensable list, ceiling list, canalized list, and the conditional list. Simplifying trade documentation and introduction of electronic trading concepts have been introduced. There has to be long term stability in the policy and transparency, including procedural simplicity. To achieve the stability, a five-year Export-Import Policy was announced for the period 1992-97.

Trade policy reform since then is a journey that transformed not just trade policy framework, but also the evolution of several domestic policies. As a measure of economic reform, India had to take a number of initiatives towards liberalised trade policy and they are as under:

i) devalued the rupee,

ii) moved toward a flexible exchange rate,

iii) current account convertibility,

iv) dismantled the license raj that had blocked imports and made exports uncompetitive,

v) unshackling constraints on domestic investment that limited competition.

vi) opened the economy to foreign investment.

Systemic changes were made in the import-substituting industrialization strategy. Some external forces were helpful in continuing the process of reform. In 1999, the reform of India's trade policy received a boost when a World Trade Organization ruling required India to dismantle remaining quantitative restrictions on imports of consumer's goods. India's trade policy reform paved the road for a:

i) Major reduction of average tariffs, tariff peaks. Bulk of the tariff lines (86 per cent) are "non-agriculture", where 90 per cent of the tariff lines are between zero and 10 per cent. India's tariff reduction led to the simple average tariffs being only about one-tenth that of the level in 1990-91.

ii) Simplification of the tariff and quota regimes. The tariff regime being much simpler than it was in 1991.The tariff regime is considerably less arbitrary today.

iii) Removal of several import restrictions.

The Agri Export Zones (AEZ) were allowed to be set up, following Exim Policy 2002- 07, to provide comprehensive services package including provision of pre/post-harvest treatment and operations, plant protection, processing, packaging, storage and related research & development etc. These AEZs would provide end-to-end development for export of specific products from a geographically contiguous area, providing a comprehensive package of services. A service provider in AEZs shall have the facility to move or shift the capital goods within the zone provided accurate record of such movements is provided.

Following the Foreign Trade Policy 2010-15, a Grievance Redressal Committee (GRC) was proposed to be set up for quick redressal of trade and industry and to boost export of perishable items via Agricultural and Processed Food Products Export Development Authority (APEDA).

The Market Access Initiative to promote select Indian products and brands in the global market was introduced during 2002-07. The scheme is formulated on focus product-focus market approach to evolve specific strategy for specific market and specific product through market studies/surveys. Assistance would be provided for enhancement of export through accessing new markets or through increasing the share in the existing markets. The scope of this initiative changed to Focus Product (FPS) and Focus Market (FMS) schemes in 2006. While FMS is to offset high freight cost and other externalities to select international markets with a view to enhance India's export competitiveness in these markets.

Following the EXIM policy of March 2000, the Assistance to States for Development of Export Infrastructure and Allied Activities (ASIDE) scheme was introduced in 2002.Trade reforms and related policies for state-level export promotion were aimed at improving supply capability, which were also expected to provide an expanding base of manufacturing production for exports as well as become more efficient.

Singh (2017) has highlighted the fact that "any discussion on trade policy reforms in India is incomplete without a comment on the political economic aspects behind such wide-ranging shifts. Even though trade and related sectoral reforms were unilateral to start with, the multilateral institutions including the

World Bank, the IMF and the WTO have contributed to the liberalization process since the 1990s. India's trade policy making is also dependent on global imperatives".

In a bid to reduce procedural complexities, the Government of India had committed to the WTO Trade Facilitation Agreement (TFA) in 2013, which includes the publication and notification via internet details of import-export and transit procedures, and related fees and charges in accessible form. The Union Budget of 2014-15 announced an Indian Customs Single Window Project to facilitate trade which envisages that traders will electronically submit their customs clearance documents at a single point with customs.

The exchange rate of rupee was overvalued, which priced out country's goods out of world markets, keeping exports at just 5 percent of GDP. The foreign exchange earnings were very low which did not give scope for accumulating foreign exchange reserve. As a result, purchase of new technology and capital goods on world markets were hindered where "ease of doing business" was not a priority.

Harsha Vardhana Singh (2017) has highlighted the fact that "trade policy was considered as a tool of industrial policy within a system of extensive controls which created time-consuming multiple layers of decision-making and delays, and increased costs which affected trade, investment and the efficiency of domestic operations".

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) What is the role of Department of Commerce in conduct of foreign trade of India?

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2) Trace the evolution of India's trade policy.

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3) Why were so many controls on foreign trade up to 1990?

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